

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

S.P.F. LOGISTICS, INC., *Complainant*

v.

HAPAG-LLOYD AG, *Respondent*.

DOCKET NO. 24-24

Served: May 8, 2025

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER DENYING RESPONDENT’S MOTION FOR SUMMARY DECISION

I. Summary and Background

A. Introduction

The complaint alleges violations of section 41104(c) of the Shipping Act of 1984, due to detention charges imposed on the return of empty refrigerated (“reefer”) containers. On September 12, 2024, Respondent Hapag-Lloyd AG (“Hapag-Lloyd”) filed a motion for summary decision asserting lack of subject matter jurisdiction over inland movement of merchant haulage shipments (“Motion”), with a statement of undisputed material facts (exhibit 1) and bills of lading and sea waybills (exhibit 2). On September 26, 2024, Complainant S.P.F. Logistics, Inc. (“SPF”) filed a timely opposition to the motion (“Opposition”) with a statement of disputed and undisputed facts (exhibit A) and a copy of its complaint (exhibit B). On October 3, 2024, Hapag-Lloyd filed a reply (“Reply”) with a reply to Complainant’s statement of undisputed material facts (Reply, exhibit 1).

On January 14, 2025, an order was issued requesting “supplemental briefs addressing whether Hapag-Lloyd was acting as a regulated entity with respect to the conduct at issue in the complaint.” Order to File Supplemental Briefing at 3. On January 29, 2025, Respondent filed its supplemental brief on the issue of jurisdiction (Supp. Motion). On February 12, 2025, Complainant filed its supplemental opposition (Supp. Opposition). On February 24, 2025, Respondent filed its reply to Complainant’s supplemental opposition (Supp. Reply).

For the reasons discussed below, Hapag-Lloyd’s motion for summary decision is **DENIED**. This order does not address the merits of the claim, only the jurisdiction issue raised in the motion. Hapag-Lloyd shall file its response to the complaint by May 23, 2025, and the parties shall submit a joint status report with proposed schedule by June 5, 2025. This order addresses the parties’ arguments, legal standard, and relevant definitions before the undisputed facts in part two, discussion in part three, and order in part four.

B. Parties' Arguments

Hapag-Lloyd asserts that summary judgment should be granted because the Commission lacks subject matter jurisdiction over the dispute as the conduct that underlies the basis for the Complaint relates to the inland movement of merchant haulage shipments, after delivery at the port has been completed. Motion at 2-3.

SPF contends that this Presiding Officer has previously held similar claims against Hapag-Lloyd were within the Commission's jurisdiction; the Shipping Act does not impose any jurisdictional limitation on the Commission's ability to enforce violations committed by ocean common carrier Hapag-Lloyd as alleged by SPF; Hapag-Lloyd misconstrues isolated comments made by the Commission in its proposed rulemaking concerning implementing section 41104 of OSRA 2022, which was enacted after the shipments and invoices at issue; Respondent's attempt to use a motion for summary judgment to challenge jurisdiction at this stage of the litigation is inappropriate and premature; and while SPF concedes that the Commission does not have a specific procedural rule regarding motions for summary judgment, Hapag-Lloyd has not met its burden to prevail. Opposition at 4-9.

Hapag-Lloyd argues in reply that the Commission twice stated that it lacks jurisdiction; past rulings/statements do not support a finding of jurisdiction in this proceeding; the timing of the conduct at issue and the passage of OSRA 2022 is flawed; Complainant's recitations of truisms regarding jurisdiction are unpersuasive; and the motion is timely. Reply at 2-6.

Hapag-Lloyd asserts in its supplemental brief that the Shipping Act's regulation of an ocean carrier conducting a merchant haulage move ends when the cargo in question is delivered and made available to the trucker for pick up and the conduct underlying the Complaint is not regulated by the Shipping Act because it relates to the return of empty reefer containers on a merchant haulage move. Supp. Motion at 2-5.

SPF contends in its supplemental opposition that a factual link exists between Hapag-Lloyd's regulated status and the complained violations; the Commission's jurisdiction over Hapag-Lloyd did not end at the port terminal; the Commission has previously confirmed jurisdiction over Hapag-Lloyd's actions related to merchant haulage; a fair reading of the Commission's demurrage and detention billing requirements at 89 Fed. Reg. 14330, supports SPF's position; the UIIA does not prevent SPF's claims; and additional discovery could possibly assist in determining the jurisdictional question. Supp. Opposition at 3-13.

Hapag-Lloyd argues in its supplemental reply that the supplemental opposition's reliance on precedent is misplaced; the supplemental opposition misunderstands or mischaracterizes Respondent's arguments because the "port boundary" argument is a red herring, Complainant's alleged "factual link" does not exist, the rulemaking supports Respondent's position, and Complainant's UIIA argument is misdirected. Supp. Reply at 1-7.

C. Motion for Summary Decision Standard

Although the Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for motions for summary decision, Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure ("Federal Rules") will be followed in instances that are not

covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. "The Commission applies the federal summary judgment standard (Fed. R. Civ. P. 56) in deciding parties' motions for summary decision." *Intermodal Motor Carriers Conference v. OCEMA*, Docket No. 20-14, 2024 WL 641501, at *9 (February 13, 2024).

Pursuant to Federal Rule 56, a party is entitled to the entry of summary judgment if "there is no genuine dispute as to any material fact and the movant is entitled to judgment as a matter of law." Fed. R. Civ. P. 56(a). A material fact is one that is capable of affecting the outcome of litigation. *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 248 (1986). However, "[t]o defeat a motion for summary judgment, the non-moving party must offer more than mere unsupported allegations or denials." *Dormu v. District of Columbia*, 795 F. Supp. 2d 7, 17 (D.D.C. 2011) (citing *Celotex Corp. v. Catrett*, 477 U.S. 317, 324 (1986)). If the non-movant's evidence is "merely colorable" or "not significantly probative," summary judgment may be granted. *Tucker v. Johnson*, 211 F. Supp. 3d 95, 99 (D.D.C. 2016) (quoting *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 249-50 (1986)).

The mere existence of a factual dispute will not in and of itself defeat an otherwise properly supported motion for summary judgment. *Anderson*, 477 U.S. at 247-48. Further, "[w]here the record taken as a whole could not lead a rational trier of fact to find for the non-moving party, there is no 'genuine issue for trial.'" *Matsushita Elec. Indus. Co. v. Zenith Radio Corp.*, 475 U.S. 574, 587 (1986) (citation omitted). However, the inferences to be drawn from the underlying facts must be viewed in the light most favorable to the non-moving party. *Matsushita*, 475 U.S. at 587.

The Commission has emphasized that:

At the summary judgment stage, the role of the judge ". . . is not himself to weigh the evidence and determine the truth of the matter but to determine whether there is a genuine issue for trial." The party seeking summary judgment . . . has the burden of demonstrating that there is no genuine issue of material fact.

EuroUSA Shipping, Inc., Tober Group, Inc., and Container Innovations, Inc., Docket No. 06-06, 31 S.R.R. 540, 545, 2008 WL 7149852 (FMC Dec. 18, 2008) (citations omitted).

Even if summary judgment is technically proper, sound judicial policy and the proper exercise of judicial discretion permit denial of such a motion for the case to be developed fully at trial. *Roberts v. Browning*, 610 F.2d 528, 536 (8th Cir. 1979); *In re Korean Air Lines Disaster*, 597 F. Supp. 613, 618 (D.D.C. 1984); *see also* Fed. R. Civ. P. 56 advisory committee notes on 2007 amendments ("although there is no discretion to enter summary judgment when there is a genuine issue as to any material fact, there is discretion to deny summary judgment when it appears that there is no genuine issue as to any material fact").

D. Shipping Act Definitions

Analysis of the Commission's jurisdiction often also involves a discussion of the Shipping Act definition of a common carrier, in 46 U.S.C. § 40102(7), as well as the requirement

in section 41102(c) cases that the practice is “connected with receiving, handling, storing, or delivering property.” 46 C.F.R. § 545.4(c). These concepts are related but different.

The Shipping Act defines and regulates a number of different types of entities that are involved in the international shipment of goods by water, including vessel-operating common carriers (“VOCCs”) and non-vessel-operating common carriers (“NVOCCs”). 46 U.S.C. § 40102(17), (18). Here, Respondent is a vehicle-operating common carrier, also referred to as an ocean common carrier.

The term “common carrier” – (A) means a person that – (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.

46 U.S.C. § 40102(7). The statutory definitions are echoed in the Commission’s regulations:

Common carrier means any person holding itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation that:

- (1) Assumes responsibility for the transportation from the port or point of receipt to the port or point of destination, and
- (2) Utilizes, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country

46 C.F.R. § 515.2(e).

The complaint alleges a violation of section 41102(c) and Commission Rule 545.5. Section 41102(c) of the Shipping Act states that a “common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). In order to establish a violation of section 41102(c), the five elements must be established.

46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;

- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

The Commission provides specific guidance on factors to consider in evaluating a section 41102(c) claim. Commission Rule 545.5 provides:

- (a) *Purpose.* The purpose of this rule is to provide guidance about how the Commission will interpret 46 U.S.C. 41102(c) and § 545.4(d) in the context of demurrage and detention.
- (b) *Applicability and scope.* This rule applies to practices and regulations relating to demurrage and detention for containerized cargo. For purposes of this rule, the terms demurrage and detention encompass any charges, including “per diem,” assessed by ocean common carriers, marine terminal operators, or ocean transportation intermediaries (“regulated entities”) related to the use of marine terminal space (*e.g.*, land) or shipping containers, not including freight charges.
- (c) *Incentive principle*—(1) *General.* In assessing the reasonableness of demurrage and detention practices and regulations, the Commission will consider the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity.
- (2) *Particular applications of incentive principle*—(i) *Cargo availability.* The Commission may consider in the reasonableness analysis the extent to which demurrage practices and regulations relate demurrage or free time to cargo availability for retrieval.
- (ii) *Empty container return.* Absent extenuating circumstances, practices and regulations that provide for imposition of detention when it does not serve its incentivizing purposes, such as when empty containers cannot be returned, are likely to be found unreasonable. . . .

46 C.F.R. § 545.5.

II. Undisputed Facts

The parties propose a total of thirteen undisputed facts. Many of the facts proposed by Complainant SPF are legal conclusions or not relevant to the jurisdictional issue. SPF objects that the bills of lading and sea waybills provided by Hapag-Lloyd are not authenticated. However, such evidence is typically admissible in administrative proceedings. *EuroUSA Shipping, Inc.*, 2008 WL 7149852, at *8, *10 (“The Commission has recognized the liberal

standards of admissibility of evidence in administrative proceedings, and has repeatedly ‘...identified the need for considerable relaxation of the rules of evidence followed by the federal courts in proceedings before the Commission.’” (citation omitted)). The bills of lading and sea waybills identify container and master bill of lading numbers which match those identified by SPF in its complaint. SPF does not identify any specific problems with the bills of lading and sea waybills. There is not a genuine dispute of the relevant facts below, which will be utilized only for the purposes of resolving this motion. Accordingly, the bills of lading and sea waybills in the Motion, Exhibit B are admitted.

The following facts are found to be relevant to the issue of jurisdiction.

1. Hapag-Lloyd AG is an ocean common carrier. Complaint, ¶ 7.
2. S.P.F. Logistics, Inc. is a licensed motor carrier. Complaint, ¶ 1.
3. S.P.F. Logistics, Inc. and Hapag-Lloyd AG are parties to the Uniform Intermodal Interchange and Facilities Access Agreement. Complaint, ¶ 12.
4. The inland segment of the shipments was made on a merchant haulage basis. Complaint ¶ 36-38; Motion, Exhibit 2.
5. The empty containers at issue in the SPF complaint were returned to Hapag-Lloyd from September 20, 2021, to November 9, 2021. Complaint, Exhibit A.
6. The Complaint identifies 25 shipments by container number, master bill of lading number, load out date, last free day (“LFD”), empty in date, HL invoice number, and detention amount billed. Complaint, Exhibit A.
7. The motion attaches the bill of lading and sea waybill for the 25 shipments identified in the complaint. Complaint, Exhibit A; Motion, Exhibit B.
8. The bills of lading and sea waybills show that the shipments moved primarily from Chile to Los Angeles, California with refrigerated cargo. Motion, Exhibit B.
9. Hapag-Lloyd’s Bill of Lading terms state:

If Containers supplied by or on behalf of Carrier are unpacked at Merchant’s premises, Merchant is responsible for returning the empty Containers (free of any dangerous goods placards, labels or markings), with interiors cleaned, dry and odourless, to the point or place designated by Carrier, its Servants or Agents, within the time prescribed. Should a Container not be returned within the time prescribed in the tariff, Merchant shall be liable for any resulting detention and/or demurrage, loss or expenses.

Attachment 1, ¶ 11(4), downloaded on April 29, 2025, from: https://www.hapag-lloyd.com/content/dam/website/downloads/pdf/Bill_of_Lading_Terms_and_Conditions_LV_01-24_EN.pdf?msockid=112b5ae475f96e13367a4eb274176f28; Supp. Opp. at 3.

III. Discussion

The discussion addresses arguments regarding inland merchant haulage, common carriers, detention and demurrage billing requirements, and previous proceedings.

A. Inland Merchant Haulage

Hapag-Lloyd argues that the “Commission lacks jurisdiction over carrier-trucker relationships related to the inland portion of merchant haulage moves, and therefore the Commission lacks subject matter jurisdiction over the Complaint.” Motion at 2. SPF contends that Hapag-Lloyd’s “obligation to timely allow the return of an empty container is part of its obligations as an ocean common carrier and is not dependent on through or ‘merchant haulage’ moves.” Motion at 3.

Under merchant haulage terms, the carrier delivers the shipment to the port and “the customer takes responsibility for arranging and paying the cost of transporting the cargo between an inland facility and the port.” *Intermodal Motor Carriers*, 2024 WL 641501, at *3. “For merchant haulage moves, merchants or cargo interests are responsible for the inland transportation, with truckers hired by cargo interests. For carrier haulage moves, common carriers are responsible for the inland transportation, with truckers hired by common carriers.” *TCW, Inc. v. Hapag-Lloyd AG and Hapag-Lloyd (America) LLC*, 2025 WL 843336, at *5 (FMC March 12, 2025).

This case does not address whether the Commission has jurisdiction over all portions of inland merchant haulage. Rather, the only question addressed here is whether the Commission has jurisdiction over the return of empty containers utilized in international shipments, that is the return of containers that were loaded overseas and transported by water between the United States and a foreign country for compensation. The parties do not point to any Commission decisions addressing this specific factual scenario and the undersigned is not aware of any.

The parties agree that the inland segment of the shipments was made on a merchant haulage basis. Complaint ¶¶ 36-38; Motion, Exhibit 2. The empty containers were returned to Hapag-Lloyd from September 20, 2021, to November 9, 2021. Complaint, Exhibit A. The complaint identifies 25 shipments by container number, master bill of lading number, load out date, last free day, empty in date, HL invoice number, and detention amount billed. Complaint, Exhibit A. The motion attaches the bill of lading and sea waybill for the 25 shipments identified in the complaint. Complaint, Exhibit A; Motion, Exhibit B. The bills of lading and sea waybills show that the shipments moved primarily from Chile to Los Angeles, California with refrigerated cargo. Motion, Exhibit B. Therefore, the twenty-five reefer containers were transported by water from a foreign country to a port in the United States.

Return of the empty reefer containers was required by Hapag-Lloyd’s bill of lading terms, which state:

If Containers supplied by or on behalf of Carrier are unpacked at Merchant’s premises, Merchant is responsible for returning the empty Containers (free of any dangerous goods placards, labels or markings), with interiors cleaned, dry and odourless, to the point or place designated by Carrier, its Servants or Agents,

within the time prescribed. Should a Container not be returned within the time prescribed in the tariff, Merchant shall be liable for any resulting detention and/or demurrage, loss or expenses.

Attachment 1, ¶ 11(4).

The parties generally agree about the factual foundation relevant to the jurisdiction issue, however, they disagree regarding whether Respondent is entitled to judgment as a matter of law because they disagree about the scope of the Commission's jurisdiction over common carriers and the import of previous Commission rules and decisions.

B. Common Carrier

The parties agree that Hapag-Lloyd AG is an ocean common carrier. The jurisdictional question is whether Hapag-Lloyd was acting as a regulated ocean common carrier, as defined by the Shipping Act, with respect to the return of empty reefer containers moved under merchant haulage.

The Commission has stated that “not everything an ocean carrier or marine terminal operator does is within the Commission’s purview—an ocean carrier or marine terminal operator must be acting as a common carrier or marine terminal operator as defined by the Shipping Act with respect to the conduct at issue.” *Final Rule: Interpretive Rule on Demurrage and Detention Under the Shipping Act*, 85 Fed Reg. 29638, 29650 (May 18, 2020). The “jurisdictional question in § 41102(c) cases is whether the respondent was acting as a regulated entity when it allegedly violated the Shipping Act.” *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, FMC Docket No. 16-16, 2020 WL 6445041, *6 (FMC Oct. 29, 2020). The Commission explained:

But the fact that Marine Transport is licensed as a regulated entity does not mean that everything it does is subject to § 41102(c). *See Auction Block Co. v. City of Homer (Auction Block I)*, [Docket No. 12-03,] 33 S.R.R. 589, [2014 WL 5316337] (FMC 2014), *aff’d sub nom. Auction Block Co. v. Fed. Mar. Comm’n (Auction Block II)*, 606 Fed. Appx. 347 (9th Cir. 2015); *see also Petchem, [Inc. v. Canaveral Port Authority]*, Docket No. 84-28, 1986 WL 170038, at *7 (FMC March 28, 1986) (publishing a tariff rate does not guarantee the Commission’s jurisdiction). There must also be a link between the respondents’ regulated status and the conduct that allegedly violates the Shipping Act. *See Auction Block II*, 606 Fed. Appx. at 347-48. That is, the inquiry is whether a respondent was acting as regulated entity with respect to the conduct at issue.

Crocus Investments, LLC v. Marine Transport Logistics, Inc., Docket No. 15-04, 2019 WL 4734299, at *7 (FMC July 16, 2019).

The Commission discussed the scope of its jurisdiction with regard to a respondent named Service By Air, Inc. (“SBA”), stating:

The analysis focuses on SBA’s status with respect to the 28 shipments at issue. *See generally MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, FMC Docket No. 16-16, 2020 FMC LEXIS 216, *6 (FMC 2020) (whether § 41102(c)

applies depends on whether the respondent was acting as a common carrier for particular cargo); *Tienshan, Inc. v. Tianjin Hua Feng Transport Agency Co., Ltd.*, FMC Docket No. 08-04, 2011 FMC LEXIS 9, *39-*40 (ALJ Mar. 9, 2011) (common carrier status depends on handling of particular shipments at issue). . . .

This fact-intensive inquiry looks “beyond documentary labels” and delves into respondent’s conduct regarding shipments at issue, while considering that the respondent may have acted as a common carrier in handling some shipments, but not others. *Worldwide Relocations, [Inc.—Possible Violations of Sections 8, 10, and 19 of the Shipping Act]*, Docket No. 06-01, 2012 WL 11914713, *5 (FMC March 15, 2012) (citing *Activities, Tariff Filing Practices and Carrier Status of Containerships, Inc.*, 9 F.M.C. 56, 66 (FMC Sept. 28, 1965) (“*Containerships*”))).

CMI Distribution, Inc. v. Service By Air, Inc., Docket No. 17-05, 2021 WL 3367603, at *4-5 (FMC July 26, 2021).

Complainant asserts that the “Commission, unequivocally, has direct jurisdiction over Hapag, an ocean common carrier, for its Shipping Act violations concerning the return of empty containers, whether committed during through transportation or not.” Opposition at 7. But, the Commission’s jurisdiction does not extend to everything a regulated entity does. As Hapag-Lloyd explains, “the Commission has no jurisdiction over a carrier leasing office space, contracting for the purchase of fuel, contracting for the acquisition of a ship or containers, flagging vessels, borrowing money, paying taxes, or any other numerous activities that are critical parts of the transportation process,” and the “analysis is not as narrow as whether the activity has something to do with transportation, but must also include the issue of whether Respondent is acting in its capacity as a regulated common carrier when it engages in the activity.” Supp. Reply at 5.

Thus, the question is whether or not Hapag-Lloyd was acting as regulated entity with respect to the return of the empty reefer containers. The parties rely on Commission rules and cases, including rules adopted pursuant to the Ocean Shipping Reform Act of 2022 (“OSRA 2022”). Pub. L. No. 117-146, §7, 136 Stat. 1272, 1274 (2022).

C. Detention and Demurrage Billing Requirements Rule

Respondent points to a recent rulemaking where the Commission discussed the scope of its jurisdiction with regard to demurrage and detention charges. Motion at 2-3. SPF asserts that it has not alleged any violations regarding detention billing requirements and that OSRA 2022 and the related rulemaking became effective after the shipments at issue. Opposition at 6. Hapag-Lloyd asserts that this case involves section 41102(c), which was not changed by OSRA 2022. Reply at 5.

In its final rule on demurrage and detention billing requirements, found at 46 C.F.R. § 541, the Commission responded to a question about whether the rule accounted “for situations where VOCCs enter directly into written contracts with motor carriers that use containers in the transportation of goods.” The Commission stated:

The Commission has jurisdiction over common carriers, marine terminal operators (MTOs), and ocean transportation intermediaries (OTIs), including over through transportation. Without knowing the particulars of the hypothetical, in this situation, *presumably the FMC's jurisdiction, and thus this rule, would apply only to cargo moved inland under a through bill of lading and contracts between a VOCC. A motor carrier not based on a through bill of lading would likely be outside the scope of this rule.*

Demurrage and Detention Billing Requirements, 89 Fed. Reg. 14330, at 14336 (February 26, 2024) (emphasis added).

The Commission subsequently issued a correction on to clarify this language, stating:

The Commission's explanation in the preamble was intended to further explain that the rule only addresses carrier-trucker relationships on through bills of lading. The Commission meant this to be understood in the context of its statement that *'the FMC's jurisdiction, and thus this rule, would apply only to cargo moved inland under a through bills of lading . . .*

Demurrage and Detention Billing Requirements, Final Rule Correction, 89 Fed. Reg. 39569 at 39570 (May 9, 2024) (emphasis added). The revised commentary reads:

In regard to the second comment, the rule makes clear that demurrage and detention invoices can only be issued to either the person for whose account the billing party provided ocean transportation or storage of cargo and who contracted with the billing party for the ocean transportation or storage of cargo, or the consignee. As discussed in the NPRM, a primary purpose of this rule is to stop demurrage and detention invoices from being sent to parties who did not negotiate contract terms for ocean transportation or storage of cargo with the billing party. When a VOCC issues a detention or demurrage invoice, the VOCC must comply with the requirements of part 541. However, in our response to this specific comment, *we presume that the FMC's jurisdiction would apply only to cargo moved inland under a through bill of lading, and that contracts between a VOCC and a motor carrier not based on a through bill of lading would likely be outside the scope of this rule.*

89 Fed. Reg. at 39570.

The demurrage and detention billing requirements rule did not change the scope of the Commission's jurisdiction. Indeed, the Commission previously stated that the precise outer bounds of its authority can be more complicated the further one gets away from the terminal and is a subject better resolved in the context of a particular factual scenario.

Another scope-related comment involved the application of the rule outside of marine terminals. The American Cotton Shippers Association noted that ocean carriers, "responding to the demands of consumers, have crafted service contracts that incorporate inland movements and services" and "[t]hus the reasonableness

of detention and demurrage practices and regulations, as they apply to inland movements in point-to-point service contracts, have an equally significant impact on the fluidity of all ocean-borne trade.” It urges that the rule account for the inland components of ocean-borne shipping transactions and apply to point-to-point service contracts. Similarly, IMC Companies believes there is a “gray area of jurisdiction” in intermodal shipping, and requests “greater clarity directed to ocean carriers[’] intermodal shipments moving on a through bill of lading with regard to application of the incentive principles the FMC has outlined.”

Nothing in the rule limits its scope to shipping activities occurring at ports or marine terminals. Rather, §41102(c) concerns ocean carrier, marine operator, and ocean transportation intermediary practices and regulations “relating to or connected with receiving, handling, storing, or delivering property.” Ocean carrier demurrage and detention practices are subject to §41102(c) and Commission oversight, regardless of whether the practices relate to conduct at ports or inland, with some caveats. First, not everything an ocean carrier or marine terminal operator does is within the Commission’s purview—an ocean carrier or marine terminal operator must be acting as a common carrier or marine terminal operator as defined by the Shipping Act with respect to the conduct at issue. This is often not a difficult question, but the further one gets away from the terminal, the more complicated the inquiry may become, and it is not a question that can always be answered in the abstract. . . .

In sum, the [Demurrage and Detention] rule is not limited, in its language or intent, to import shipments, nor is it limited solely to ocean carrier practices related to conduct at marine terminals. The precise outer bounds of the Commission’s authority, however, is a subject better resolved in the context of a particular factual scenario.

Interpretive Rule on Demurrage and Detention Under the Shipping Act, 85 FR 29638 at 29650 (May 18, 2020).

Thus, the question continues to be whether Hapag-Lloyd was acting as a common carrier as defined by the Shipping Act with respect to the return of the empty containers, and these rulemakings do not resolve the issue. The parties point to Commission cases for guidance.

D. Previous Proceedings

Hapag-Lloyd contends that “in a merchant haulage move, once delivery at the destination port has been made, the common carrier’s obligations as a regulated entity cease” and that after delivery, “the ocean carrier is no longer acting as a ‘common carrier,’ but is instead serving as an equipment bailor to the consignee or shipper’s designated motor carrier.” Supp. Motion at 2. Hapag-Lloyd argues:

In the case of a merchant haulage move, the motor carrier is hired by, paid by, and responsible to the consignee. There is no contract for transportation between the ocean common carrier and the motor carrier. Instead, the ocean common carrier is

merely allowing the motor carrier to take possession of and use its container so that the motor carrier may perform the inland transportation for which it was hired by the consignee. Thus, the ocean carrier is acting as a bailor of equipment to the motor carrier under the terms of the Uniform Intermodal Interchange and Facilities Access Agreement (“UIIA”). The UIIA is not a contract for the transportation of cargo, but is an agreement setting forth the terms under which the motor carrier is permitted to take possession of and utilize the ocean carrier’s container.

Supp. Motion at 4-5 (footnote omitted).

SPF argues that for “Shipping Act purposes, it makes no difference that an empty container is returned back to Hapag after delivery at the port or a consignee’s warehouse. In all circumstances it is still part of the circular nature of the transportation of international cargo.” Supp. Opposition at 4. SPF also argues that “the common UIIA document has no mention of any difference between merchant haulage and carrier haulage” except to charge different street turn rates for merchant and carrier haulage. Supp. Opposition at 11-12.

SPF focuses on the geographic boundary, but that misses Hapag-Lloyd’s argument, which is that once the international shipment is completed, it is no longer acting as an ocean common carrier. The parties agree that the “Commission and the courts have repeatedly recognized that the Shipping Act’s authority does not end at the port’s boundary” *Intermodal Motor Carriers Conference*, 2024 WL 641501, at *13 (citing *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Docket No. 09-01 2011 WL 7144008 at *5-8 (FMC Aug 1, 2011)). However, there must be a nexus with international shipping for the Commission to have jurisdiction. In through shipments, the bill of lading requiring delivery to the door provides that nexus. The issue here is whether there is a nexus to international shipping when delivery has been made to the port and the ocean common carrier has fulfilled its responsibilities.

SPF asserts that the Commission has previously asserted jurisdiction over merchant haulage, citing three cases. Supp. Motion at 6-9. Hapag-Lloyd contends that each of these three cases can be distinguished from this proceeding. Supp. Reply at 2-3.

SPF first points to an enforcement case against Hapag-Lloyd which was settled while it was pending before the Commission, arguing that the Commission must have had jurisdiction to approve the settlement. Motion at 6. Hapag-Lloyd asserts that in that case, “the issue of jurisdiction was not raised and was not addressed.” Supp. Opposition at 2. In that case, the initial decision and Commission decision approving the settlement agreement do not mention the term “merchant haulage” and do not address whether the containers moved by merchant or carrier haulage. *Hapag-Lloyd A.G. and Hapag-Lloyd (America) LLC – Possible Violations of 46 U.S.C. §41102(c)*, 4 FMC 2d 53 (ALJ April 22, 2022), Order Denying Motion to Intervene and Granting Joint Petition to Approve Proposed Settlement Agreement (FMC June 8, 2022). This case does not support Complainant’s position because the issue of merchant versus carrier haulage was not raised or addressed.

SPF next points to the decision in *TCW, Inc. v. Hapag-Lloyd*, where the Small Claims Officer stated:

Thus, abundant evidence establishes that the street turn payment was made in connection with the transportation of cargo by ocean from the United States to a foreign destination. Because the street turn fee at issue was assessed on a container being utilized for the transportation of cargo by ocean between a port in the United States to a foreign destination, it is a charge that was assessed in connection with the transportation of cargo in the foreign commerce of the United States and thus subject to the Shipping Act and the Commission's jurisdiction.

TCW, Inc. v. Hapag-Lloyd AG and Hapag-Lloyd (America) LLC, 2023 WL 8622027, at *12 (*aff'd* 2025 WL 843336, at *4-5 (FMC March 12, 2025) (finding that the "street turn fees relate to or are connected with receiving, handling, storing, or delivering property."))).

The *TCW* case is more helpful to Complainant, as it finds jurisdiction because the street turn fee was assessed on a container being utilized for the transportation of cargo by ocean between a port in the United States to a foreign destination. Hapag-Lloyd distinguishes the case, arguing that here, "the containers in question were not being used for the transportation of cargo in the foreign commerce of the United States, but were merely being returned empty to a domestic location." Supp. Opposition at 3. This case supports finding that fees imposed on containers which are "utilized for the transportation of cargo by ocean between a port in the United States to a foreign destination" are subject to the Commission's jurisdiction due to their nexus with international shipping.

SPF points to a third case regarding chassis, the wheels used to transport containers once they arrive at United States ports. SPF asserts that Hapag-Lloyd argued that the Commission did not have jurisdiction over some of the alleged violations associated with merchant haulage, since merchant haulage occurred after Hapag-Lloyd "delivered" the cargo and that the Commission found Hapag's jurisdictional argument was "untenable" in that the Commission's jurisdiction did not end at the port boundary. Opposition at 8 (citing *Intermodal Motor Carriers Conference*, 2024 WL 641501, at *13).

Hapag-Lloyd distinguishes this case, stating:

The Respondents in that case, not just Hapag-Lloyd, argued that Commission lacked jurisdiction over the provision of chassis in connection with an inland move on merchant haulage terms. The Commission, apparently not comprehending fully the basis of Respondents' arguments, held that its jurisdiction extends beyond the port boundary. While it is certainly true that the Commission's jurisdiction extends beyond port boundaries in certain instances, there is a distinction between the furnishing of chassis (which are necessary for delivering loaded import containers) and the return of empty containers. Moreover, as explained further below, Respondent's arguments in this proceeding are not based on geography, but on contractual relationships and common law obligations that define when Respondent is and is not acting as a regulated entity.

Supp. Reply at 3.

The *Intermodal Motor Carriers Conference* case included a detailed discussion of the differences between merchant haulage and carrier haulage. Chassis use in merchant haulage were found to be within the Commission's jurisdiction because of the contractual provisions linking merchant and carrier haulage rates and because chassis "are integral components of the ocean transportation system." *Intermodal Motor Carriers*, 2024 WL 641501, at *14. The focus was not just on geographic borders but also on the nexus between chassis and international shipments. This case also supports finding that the return of international shipping containers is within the Commission's jurisdiction.

The Commission discussed its jurisdiction in a case about maintenance and repair ("M&R") work on chassis and refrigerated containers, saying:

[C]argo moves in containers and those containers move alongside and away from oceangoing vessels on chassis. It therefore follows that containerized cargo cannot be loaded onto or discharged from oceangoing vessels if the containers and chassis are not in operating condition. Although the Commission has not specifically dealt with the issue of its jurisdiction over M&R work, there can be little doubt that the maintenance and repair of chassis and containers, as well as the maintenance and repair of reefers in which perishable cargo is moved, has a sufficient relation to and connection with receiving, handling, storing, or delivering property to fall within the jurisdiction of the Commission.

Marine Repair Services of Maryland, Inc. v. Ports America Chesapeake, LLC, Docket No. 11-11, 2013 WL 9808672, at *21 (ALJ Jan. 10, 2013) (admin. Final Mar. 20, 2013).

Here, the allegations involve the return of reefer containers, which are an integral component of the ocean transportation system. Indeed, the development of standardized international shipping containers contributed to the growth of international shipping. The containers are loaded overseas and transported over water to ports in the United States. There is an even stronger nexus to international shipping for containers than for chassis, which remain in the United States and are primarily used for transporting shipping containers from American ports to the customer's door. Moreover, the ocean common carrier retains an interest in the container, even though the transportation is the responsibility of the merchant. The precise nature of this interest, whether as a bailor or in some other capacity, is not determinative. Rather, it is that Hapag-Lloyd is acting as a regulated entity when billing charges for the late return of the empty containers used in international shipping.

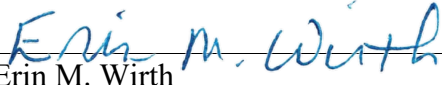
Therefore, Commission case law supports finding that the Commission has jurisdiction over the return of these reefer containers. Accordingly, the motion is denied. Respondent will be provided time to file its answer and the parties must file a joint status report with proposed schedule.

IV. Order

Upon consideration of the record herein, the arguments of the parties, and the conclusions and findings set forth above, it is hereby

ORDERED that Hapag-Lloyd's motion for summary decision be **DENIED**. It is

FURTHER ORDERED that Hapag-Lloyd shall file its response to the complaint by May 23, 2025, and the parties shall submit a joint status report with proposed schedule by June 5, 2025, as required by the initial order.


Erin M. Wirth
Chief Administrative Law Judge

- 1. Definitions**
- "BIMCO"** means the Baltic and International Maritime Council.
- "Carriage"** means the whole or any part of the operations and services undertaken by Carrier in respect of the Goods covered by this Bill of Lading.
- "Carrier"** means the party named on page 2 of this Bill of Lading.
- "Container"** includes any container, trailer, transportable tank, flat, or any similar article used to contain, store, transport or convey any cargo or equipment.
- "Freight"** includes all charges payable to Carrier in accordance with the applicable tariff and this Bill of Lading.
- "Goods"** means the whole or any part of the cargo received from the shipper and includes any equipment or Container not supplied by or on behalf of the Carrier.
- "Hague Rules"** means the International Convention for the Unification of Certain Rules relating to Bills of Lading of 1924 only.
- "Hague-Visby Rules"** means the Hague Rules including the Visby amendments of 1968 and the amendments by the Protocol of 1979.
- "Merchant"** means the booking party, shipper, consignee, receiver of the Goods, and any holder, person or entity owning or entitled to the possession of the Goods or of this Bill of Lading.
- "Servants or Agents"** includes the owners, managers and operators of any Vessel (other than Carrier), master, officers and crew of the Vessel(s), charterers, slot and space charterers, the Vessel, all underlying carriers, bailees, direct and indirect subcontractors, stevedores, terminal and groupage operators, road and rail transport operators, or any other party employed by or on behalf of Carrier, or whose services or equipment have been used to perform this contract whether in direct contractual privity with Carrier or not.
- "US COGSA"** means the US Carriage of Goods by Sea Act 1936.
- "Vessel"** means any vessel including but not limited to a main line vessel, feeder ship, barge or any other means of conveyance by water used for the Carriage of the Goods under this Bill of Lading.
- "VGM"** means the verified gross mass obtained by one of the permissible methods pursuant to ch. VI, part A, reg. 2 paragraph 4 of SOLAS 1974 (as amended from time to time) and the applicable regulations of the State of the loading port.

2. Carrier's Tariff

The terms and conditions of Carrier's applicable tariff are incorporated herein, including but not limited to terms and conditions relating to demurrage and detention. The provisions relating to the applicable tariff can be acquired from Carrier or at its agents upon request. Carrier's standard tariff may be viewed at <https://www.hapag-loyd.com/en/online-business/quotation/tariffs.html>. In case of any inconsistency between this Bill of Lading and the applicable tariff, this Bill of Lading shall prevail.

3. Warranty

Merchant warrants that in agreeing to the Terms and Conditions hereof he is, or has the authority of, the person owning or entitled to the possession of the Goods and this Bill of Lading.

4. Sub-Contracting and Indemnity

(1) Carrier shall be entitled to sub-contract on any terms whatsoever the whole or any part of the Carriage, including but not limited to loading, unloading, storing and warehousing.

(2) Merchant hereby agrees that no Servants or Agents are or shall be deemed to be liable with respect to the Goods or the Carriage as Carrier, bailee or otherwise, and agreed not to file any claim against any Servant or Agent seeking to impose liability in connection with the Carriage. If any claim is made against any of the Servants or Agents, Merchant shall indemnify Carrier against all consequences thereof. Without prejudice to the foregoing, all claims, damages, losses, expenses, costs and exonerations from liability provided for by these Terms and Conditions, including the jurisdiction clause, shall be available to every Servant or Agent and Vessel which shall be entitled to enforce same against Merchant.

(3) The provisions of Clause 4 (2) shall extend to claims of whatsoever nature against other persons chartering space on the carrying Vessel.

5. Carrier's Responsibility

5.1 Save as otherwise provided herein, Carrier shall be responsible for loss of or damage to Goods under the following circumstances only:

- (1) **Port-to-Port Shipment**
- (a) If any loss or damage occurs to the Goods between the time of loading on the Vessel and the time of discharge from the Vessel, the responsibility of Carrier shall be determined in accordance with German law making the Hague Rules compulsorily applicable. The BIMCO Paramount Clause General shall be incorporated herein and obtainable from Carrier or at its agents upon request or at www.bimco.org.
- (b) However, if the Bill of Lading covers a shipment from to the USA, US COGSA shall govern and apply from loading the Goods on the Vessel until discharge. US COGSA shall also govern and apply during all times before the Goods are loaded on or after they are discharged from the Vessel.
- (c) Carrier shall not be responsible for any fault of its personnel and of the Vessel's crew (as defined in Sec. 478 German Commercial Code) in cases of damage or loss caused by fire or explosion on board the Vessel or caused by the navigation or management of the Vessel, in the latter case save for damage or loss caused when executing measures which were predominantly taken in the interest of the Goods ("Error in Navigation and Fire Defenses").
- (d) Carrier shall not be responsible for any fault of other persons involved in the navigation or management of the Vessel, in particular for any fault of the crew of a tug boat assisting the Vessel, in cases of damage or loss caused by the navigation or the management of the Vessel, save for damage or loss caused when executing measures which were predominantly taken in the interest of the Goods.
- (e) The Carrier shall have no liability whatsoever for any loss or damage to the Goods, howsoever caused, if such loss or damage arises before acceptance by the Carrier of custody of the Goods or after the Carrier tenders the Goods for delivery. Carrier is not responsible for any acts or omissions of any terminal operator to which the Goods were submitted.
- (f) Any compensation will be calculated by reference to the value of the Goods at the place and the time they are delivered to Merchant, or at the place and the time they should have been delivered. For the purpose of determining the extent of Carrier's liability for loss of or damage to the Goods, the sound value of the Goods is agreed to be the invoice value plus Freight and insurance if paid.
- (2) **Multimodal Transport**
- (a) If the place of damage to or loss of the Goods is known, the responsibility of Carrier is determined by the law which applies to this leg of Carriage except in cases which are governed by Clause 5.1 (2) (d) below.
- (b) If it is established that loss or damage occurred during the port-to-port leg the "Error in Navigation and Fire Defenses" as set out in Clause 5.1 (1) (c) apply.
- (c) If it is established that loss or damage occurred during the port-to-port leg, Clause 5.1 (1) (d) shall apply.
- (d) If part of the multimodal transport involves a shipment to or from the USA, US COGSA shall govern and apply from loading the Goods on the Vessel until discharge. US COGSA shall also govern and apply during all times before the Goods are loaded on or after they are discharged from the Vessel.
- (e) The Convention on the Contract for the International Carriage of Goods by Road (CMR), dated May 19, 1956 and any amendments to the Convention and the International Agreement on Railway Transports (CIM), dated February 25, 19361 or any amendments to this Agreement, apply to the extent that they apply compulsorily by law.
- (f) Compensation will be calculated by reference to the value of the Goods at the time they were delivered to Carrier for Carriage.
- (g) **IF THE LAW WHICH IS APPLICABLE UNDER CLAUSE 5.1 (2) (a) IS NOT MANDATORY BUT PROVIDES FOR LIABILITY EXCEEDING 2 SDR PER KILOGRAM, THE MAXIMUM LIABILITY SHALL BE 2 SDR PER KILOGRAM OF THE GROSS WEIGHT OF THE GOODS LOST OR DAMAGED. SDR MEANS SPECIAL DRAWING RIGHTS AS DEFINED BY THE INTERNATIONAL MONETARY FUND. THIS SUB-SECTION (g) DOES NOT APPLY IF THE LOSS OR DAMAGE TO THE GOODS OCCURRED ON A SEA LEG.**
- (h) **IF THE LEG OF CARRIAGE DURING WHICH LOSS OR DAMAGE OCCURRED IS NOT KNOWN, CARRIER'S MAXIMUM LIABILITY WILL NOT EXCEED 2 SDR PER KILOGRAM OF GROSS WEIGHT OF THE GOODS LOST OR DAMAGED HOWSOEVER ARISING.**
- (i) **CARRIER IS NOT ENTITLED TO THE BENEFIT OF THE LIMITATION OF LIABILITY IN CLAUSE 5.1 (2) (g) AND (h) IF IT IS PROVED THAT THE DAMAGE RESULTED FROM AN ACT OF NEGLIGENCE OR OMISSION OF CARRIER OR ITS SERVANTS OR AGENTS DONE WITH INTENT TO CAUSE DAMAGE, OR RECKLESSLY AND WITH KNOWLEDGE THAT DAMAGE WOULD PROBABLY RESULT.**
- (j) Subject to the applicable restrictions in applicable statutory law and international conventions, Carrier shall not be liable for damage or loss caused by 1. error in navigating or handling the Vessel, including errors caused by a pilot or by the arrangement of a group of tugs or pushers (Art. 25 (2) a) (CMNI) or 2. fire or an explosion on board the Vessel, where it is not possible to prove that the fire or explosion resulted from a fault of the Carrier or their Servants or Agents or a defect of the Vessel (Art. 25 (2) b) CMNI).
- (3) **Notice Periods**
- Unless written notice of loss or damage is given to Carrier or its agent at the port of discharge:
- before or at the time of the removal of the Goods into the custody of the person entitled to delivery thereof under the Bill of Lading, or
 - where the loss or damage is not apparent at the time of removal of the Goods, within three (3) days for Port-to-Port Shipment, or seven (7) days for Multimodal Transport after such removal, the removal is *prima facie* evidence of the delivery by Carrier as described in this Bill of Lading. Any such loss or damage which may have occurred to the Goods is deemed and agreed to be due to circumstances which are not the responsibility of Carrier. The written notice must clearly specify the damage. Notwithstanding the aforesaid, if a package has been delivered to Merchant, Merchant must prove that the damage to or loss of the Goods did occur whilst the Container was in the custody of the Carrier.
- 5.2 **Liability Provisions**
- (1) **Hague Rules/Hague-Visby Rules**
- Without prejudice to rights under Clause 5.1 hereof, if suit is brought in a court other than the court as provided for in Clause 24, and Clause 24 is not enforced by Carrier or the court, then (a) if this Bill of Lading has been issued in a country where the Hague-Visby Rules are compulsorily applicable, Carrier's maximum liability shall not exceed USD 500 per package or 666.67 SDR per package of the Goods lost or damaged, whichever is higher; or (b) if this Bill of Lading has been issued in a country in which the Hague Rules apply, Carrier's liability must not exceed GBP 100 per package or unit.
- (2) **US COGSA**
- Notwithstanding Clause 5.2 (1), if the Bill of Lading covers a shipment to or from the USA, and suit is brought in a court other than as provided in Clause 24, and Clause 24 is not enforced by Carrier or the court, then US COGSA applies as per Clauses 5.1 (1) (b) or 5.1 (2) (d). Under US COGSA Carrier's maximum liability shall not exceed USD 500 per package or 666.67 SDR per package of the Goods lost or damaged, whichever is higher, or where the Goods are not shipped in packages USD 500 per customary freight unit unless the nature and value of the Goods has been declared by Merchant and inserted in writing on page 2 of

- the Bill of Lading and where the Merchant has paid the applicable *ad valorem* Freight rate set forth in Carrier's tariff.
- (3) **Shipper's declared value**
- Merchant agrees and acknowledges that Carrier has no knowledge of the value of the Goods and that compensation higher than that provided for herein cannot be claimed unless the nature and value of such Goods has been declared by Merchant, agreed by Carrier, and inserted into the Bill of Lading. In addition, the applicable *ad valorem* Freight rate as set out in Carrier's tariff must be paid in full prior to shipment. Any partial loss or damage to the Goods will be adjusted pro rata based on the declared value of the Goods. If the declared value of the Goods is higher than the actual value, Carrier is not liable to pay any compensation which is higher than the net invoice value of the Goods plus Freight and insurance if paid. Any references, when shown on page 2 of this Bill of Lading, to letters of credit, import licenses, sales contracts, invoices or order numbers and/or details of any contract to which Carrier is not a party do not amount to a declaration of value by the Merchant to the Carrier.
- (4) **Limitation of Liability**
- The Merchant acknowledges and agrees that Carrier is a person entitled to limit their liability under any Convention or Act pertaining to limitation of liability on maritime claims, whichever is applicable. Carrier may be the Vessel owner, charterer (including a slot- or space charterer), manager or operator of the Vessel, or salvor rendering services in connection with salvage operations. If any claims are made against the Servants or Agents, they are entitled to avail themselves of the same limitation of liability available to Carrier.
- (5) **Delay**
- (a) Unless expressly agreed otherwise, Carrier does not undertake that the Goods will arrive at the destination or place of delivery at any particular time or to meet any particular market or use, and Carrier shall not be liable for any direct, indirect or consequential loss or damage (including but not limited to any loss of income or resale value) caused by delay.
- (b) If Carrier will nevertheless be considered liable as per the law mandatorily governing a particular loss or damage resulting from delay, such liability shall not exceed three (3) times the Freight.
- (c) Sub-section (b) does not apply if the law governing a particular loss or damage resulting from delay provides for a lower limitation amount.
- (d) Clauses 5.2 (3) (a) and (b) do not apply if a delay was caused by an act or omission of Carrier or its Servants or Agents, if it is established that Carrier himself acted with the intent to cause damage, or recklessly and with knowledge that damage would probably result.
- (6) **Scope of Application and Exclusions**
- (a) The rights, defenses, immunities, exemptions, limitations and liberties of whatsoever nature provided for in this Bill of Lading or under statute apply in any action against Carrier for loss or damage or delay, howsoever occurring and whether the action be founded under a relevant statute, in contract or in tort.
- (b) Save as otherwise provided herein, Carrier is in no circumstances whatsoever and howsoever arising liable for any direct or indirect or consequential loss or damage or loss of business, income or profits, unless it is established that Carrier himself acted with the intent to cause damage, or recklessly and with knowledge that damage would probably result.
- 5.3 **Change of Destination by Merchant, On-Carriage**
- If Merchant requests Carrier to deliver the Goods to a port or place other than the port of discharge or the place of delivery originally designated in this Bill of Lading or if Merchant requests on-carriage in addition to the original booking and provided that Carrier in its absolute discretion agrees to such request and any additional charges are paid by Merchant, such further Carriage will be undertaken on the basis that the Bill of Lading Terms and Conditions apply to suit further Carriage as if the new destination agreed with Merchant had been entered on page 2 of this Bill of Lading as the port of discharge or place of delivery.
6. **Time for Suit**
- In any event, Carrier shall be discharged from all liability in respect of loss of or damage to the Goods, non-delivery, mis-delivery, delay or any other loss or damage connected or related to the Carriage unless suit is brought within one (1) year after delivery of the Goods or the date when the Goods should have been delivered.
7. **Shipper-Packed Containers**
- (1) If a Container was not packed by or on behalf of Carrier, Carrier is not liable for any loss of or damage to the Goods caused by:
- (a) the manner in which the Goods were packed into the Container, or
 - (b) the unsuitability of the Goods for Carriage in the Container, or
 - (c) the unsuitability or defective condition of the Container or the incorrect setting of any refrigeration controls or ventilation settings thereof; provided that, if the Container has been supplied by or on behalf of Carrier, this unsuitability or defective condition would have been apparent upon inspection by Merchant at or prior to the time when the Container was packed, or
 - (d) packing refrigerated Goods that are not at the correct temperature for Carriage.
- (2) Carrier shall not incur any liability against any loss, damage, liability or expense whatsoever and howsoever arising caused by one or more matters referred to in Clause 7.1 (1).
- (3) With regard to temperature- or atmosphere-controlled Goods, Carrier shall be deemed to have fulfilled its obligations under the contract of Carriage and shall have no liability whatsoever if such Goods are carried in a range of plus or minus 2.5 ° Celsius with regard to any temperature indicated on page 2 of this Bill of Lading. The term "apparent good order and condition" when used in this Bill of Lading with reference to the Goods which require refrigeration does not mean that the Goods when received were verified by Carrier as being at the temperature indicated on page 2 of this Bill of Lading. Where a temperature is indicated Carrier undertakes that the Container supplied by the Carrier is equipped to maintain the temperature set by Merchant. Merchant remains responsible for the consequences of any temperature irregularities, including but not limited to the Goods being at a higher temperature upon loading into the Container than that required for the Carriage (hot stuffing), prior to receipt or after delivery by Carrier.
- (4) Container with Goods packed by Merchant shall be delivered to Carrier with an intact high security seal (applicable ISO standard) in place, and the seal number provided to Carrier by Merchant. If the Container is not sealed accordingly, Carrier may, at Merchant's expense, return the Container to Merchant for resealing, or affix a seal.
8. **Intention of the Goods**
- Carrier or any Servant or Agent or any other person authorized by Carrier shall be entitled, but under no obligation, to open any Container or package at any time and to inspect the Goods. If, by order of the authorities at any place, a Container has to be opened for the Goods to be inspected, Carrier will not be liable for any loss or damage incurred as a result of such opening, unpacking, inspection or repacking. Carrier shall be entitled to recover the costs of such opening, unpacking, inspection and repacking from Merchant.
9. **Carriage Affected by Condition of Goods**
- If, at any time, due to the condition of the Goods, the Goods cannot safely or properly be carried further or without incurring additional expense or taking any measure(s) in relation to the Container or the Goods, Carrier may, without notice to Merchant, take any measure(s) and/or incur any additional expense to carry or to continue the Carriage thereof, and/or sell or dispose of or destroy the Goods, and/or abandon the Carriage and/or store them ashore or afloat, under cover or in the open, at any place, whichever Carrier, in its absolute discretion, considers most appropriate, which abandonment, storage, sale, disposal or destruction shall be deemed to constitute due delivery under this Bill of Lading. Merchant shall indemnify Carrier against any additional expense so incurred.
10. **Declaration of the Goods and High Value Cargo**
- (1) The carrier warrants to Carrier that the particulars relating to the Goods as set out on page 2 have been checked by the shipper on receipt of this Bill of Lading and that such particulars, and any other particulars furnished by or on behalf of the shipper, are adequate and correct. The shipper also warrants that the Goods are lawful Goods and contain no contraband.
- (2) Carrier is neither prepared to enter into a contract of Carriage nor to issue a Bill of Lading regarding High Value Cargo without Carrier's prior written consent to perform such a carriage. "High Value Cargo" shall consist of Goods with an invoice value of USD 2,000,000 or above. Carrier shall be discharged from all liability in respect of loss or damage to such Goods, non-delivery, delay or any other loss or damage, including but not limited to the Carriage in case of failure to declare any High Value Cargo and seek Carrier's said consent.
11. **Merchant's Responsibility**
- (1) All persons coming within the definition of Merchant are jointly and severally liable to Carrier for the fulfillment of all obligations, undertakings and warranties of Merchant either in this Bill of Lading, or as required by law. Merchant shall mitigate losses and shall indemnify Carrier against all claims, losses, damages, detention, demurrage, expenses, fines, costs and attorney fees, arising or resulting from any breach of these obligations, undertakings and warranties.
- (2) It is the sole responsibility to provide Carrier electronically or by other agreed means with the correct VGM of each container prior to the deadline stipulated by Carrier (VGM cut off time). If VGM is not so timely provided, Carrier is under no obligation to commence or continue Carriage of the Container, in which case:
- (a) Carrier may store/re-weigh or return the Container to the shipper or its representative in its discretion at Merchant's cost.
 - (b) Any demurrage and storage fees resulting from breach of these obligations shall be for Merchant's account.
 - (c) Merchant shall also be liable for any resulting expenses, detention, fines, delay, loss or damage, costs and attorney fees.
- (3) Merchant shall comply with all regulations or requirements of sanctions, customs, ports and/or other authorities, including but not limited to those relating to VGM, and shall bear and pay all duties, stamp duties, taxes, fines, imposts, expenses or losses (including Freight for any additional Carriage) incurred or suffered by reason of any failure to so comply, or by reason of any illegal, incorrect, or insufficient weighing, marking, number or addressing of the Goods or Containers or the discovery of any drugs, narcotics, stowaways or any illegal substances or illegal Goods within or connected to the Container packed by Merchant or inside Goods supplied by Merchant, and shall indemnify Carrier in respect thereof.
- (4) If Containers supplied by or on behalf of Carrier are unpacked at Merchant's premises, Merchant is responsible for returning the empty Containers (free of any dangerous goods placards, labels or markings), with interiors cleaned, dry and odourless, to the point or place designated by Carrier, its Servants or Agents, within the time prescribed. Should a Container not be returned within the time prescribed in the tariff, Merchant shall be liable for any resulting detention and/or demurrage, loss or expenses.
12. **ISPS Code**
- (1) Merchant shall comply with the requirements of the ISPS Code. If Carrier is held liable by any State Authority for any or other third party Merchant shall indemnify and hold Carrier harmless from any damages resulting from the violation of the ISPS Code by Merchant.
- (2) Merchant undertakes to pay Carrier any costs or expenses whatsoever arising out of or related to security regulations or measures required by the port authority or any relevant authority in accordance with the ISPS Code in relation to Merchant's Goods.
- (3) Carrier is entitled to deviate the Vessel to a different port and to unload the Goods there if the authorities in the port of discharge have increased their level of security according to the ISPS Code after the Goods have been loaded.
- (4) Merchant undertakes to compensate any costs and expenses suffered by Carrier because of a delay of the Vessel resulting from a violation of the ISPS Code by Merchant.

13. **Freight**
- (1) Freight shall be deemed fully earned on receipt of the Goods by Carrier and shall be paid and non-returnable in any event.
- (2) Freight has been calculated and shall be paid on the basis of particulars furnished by or on behalf of the shipper. If the particulars furnished by or on behalf of the shipper are incorrect, liquidated damages shall be paid to Carrier, in accordance with the applicable tariff.
- (3) All Freight shall be paid as set out in the Bill of Lading. Carrier's lien shall extend to cover the cost and confirmed by final court decision.
- (4) If Merchant fails to pay the Freight when due, it shall be liable for all costs, liquidated damages in accordance with the applicable tariff, interest which accrues until payment, reasonable attorney fees and expenses incurred in collecting any sums due to the Carrier.
14. **Lien**
- Carrier shall have a lien on the Goods and any documents relating thereto for all sums payable by Merchant to Carrier under this or any other contract and for general average and/or salvage contributions, to whomsoever due. Carrier may exercise its lien at any time and in any place at its sole discretion, whether the related sums are due or not. Carrier's lien shall extend to cover the cost and attorney fees of recovering any sums due. Carrier shall have the right to sell the Goods at public or private sale at the expense and without notice to Merchant. If the proceeds of this sale fail to cover the whole amount due, Carrier is entitled to recover the deficit from Merchant.
15. **Optional Storage and Deck Cargo**
- (1) The Goods may be packed by Carrier in Containers and consolidated with other goods in Containers.
- (2) Goods, whether or not packed in Containers, may be carried on deck or under deck without notice to Merchant and Carrier shall not be required to note on the Bill of Lading any statement of on-deck Carriage. All Goods whether carried on deck or under deck, shall participate in general average and the Carriage of such Goods is subject to all terms and conditions of the Bill of Lading.
16. **Methods and Routes of Carriage**
- (1) Carrier may at any time and without notice to Merchant:
- (a) use any means of Carriage or storage whatsoever, including the utilization of railway, road vehicle, inland river or coastal barge services;
 - (b) transfer the Goods from one conveyance to another, including but not limited to transshipping or carrying on another Vessel or conveyance or by any other means of transport than that named on page 2;
 - (c) unpack and remove Goods which have been packed into a Container and forward them in a Container or otherwise;
 - (d) proceed by any route in its discretion (whether or not the nearest or most direct or customary or advertised route), at any speed, and proceed to or stay at any place or port whatsoever, once or more often and in any order;
 - (e) load or unload the Goods at any place or port (whether or not such port is named on page 2 as the port of loading or port of discharge) and store the Goods temporarily at any place or port whenever, once or more often and in any order;
 - (f) comply with any orders or recommendations given by any government or authority.
- (2) The liberties set out in this Clause 16 may be invoked by Carrier for any purpose whatsoever, whether or not connected with the Carriage of the Goods, including loading or unloading other Goods, bunkering, undergoing repairs, adjusting instruments, picking up or landing any persons. Anything done in accordance with Clause 16 (1) or any delay arising there from shall be deemed to be (i) within the contractual Carriage and shall not be a deviation and (ii) Carrier shall be entitled to full charges and any additional Freight, storage and all other expenses incurred by or on behalf of Merchant and Carrier shall be due and owing from Merchant, and Carrier shall have a lien on the Goods for the same.
17. **Matters Affecting Performance**
- If at any time the Carriage is or is likely to be affected by any hindrance, risk, danger, delay, difficulty or disadvantage of any kind including but not limited to labour disruption such as strike and lock-out, sanction, security incident, pandemic, epidemic, congestion of ports or canals, war, civil commotion, political unrest, piracy, act of terrorism and threat thereof and howsoever arising (even though the circumstances giving rise to such hindrance, risk, danger, delay, difficulty or disadvantage existed at the time this contract was entered into or when the Goods were received for the Carriage), then Carrier (whether or not the Carriage is commenced) may, at its sole discretion and without prior notice to Merchant, either:
- (1) cancel bookings for Goods before they are loaded on the Vessel named on page 2 of this Bill of Lading; or
 - (2) carry the Goods to the contracted port of discharge or place of delivery, whichever is applicable, by an alternative route to that indicated on page 2 of this Bill of Lading or that which is usual for Goods consigned to that port of discharge or place of delivery and shall be entitled to charge such additional Freight; or
 - (3) suspend the Carriage of the Goods and store them ashore or afloat, under cover or in the open and endeavor to forward them as soon as reasonably possible and shall be entitled to charge such storage costs and additional Freight; or
 - (4) abandon the Carriage of the Goods and place them at Merchant's disposal at any place or port which Carrier may deem safe and convenient, whereupon the responsibility of Carrier in respect of such Goods shall cease. Merchant shall pay any additional costs of the Carriage to, and delivery and storage at, such place or port.
18. **Dangerous Goods**
- (1) No Goods which are or may become dangerous, inflammable or damaging (including radioactive materials) shall be tendered to Carrier for Carriage without its express consent in writing, and without the Container as well as the Goods themselves being distinctly marked on the outside so as to indicate the nature and character of any such Goods and so as to comply with any applicable laws, regulations or requirements. If any such Goods are delivered to Carrier without such written consent and/or marking, or if in the opinion of Carrier the Goods are or are likely to become of a dangerous, inflammable or damaging nature, they may at any time be destroyed, disposed of, abandoned, or rendered harmless without compensation to Merchant.
- (2) Merchant warrants that the Goods are sufficiently packed in compliance with all laws or regulations and requirements with regard to the nature of the Goods.
- (3) Whether or not Merchant was aware of the nature of the Goods, Merchant shall indemnify Carrier against all claims, losses, damages or expenses, costs and fees, including attorney fees, arising in consequence of the Carriage of such Goods.
- (4) Nothing contained in this Clause shall deprive Carrier of any of its rights provided for elsewhere.
19. **Notification and Delivery**
- (1) Carrier shall not be obliged to give any notification of the arrival of the Goods to the Merchant hereunder.
- (2) Carrier shall take delivery of the Goods within the time provided for in Carrier's applicable tariff.
- (a) If Merchant fails to do so Merchant shall either nominate an alternative receiver or accept a return shipment or organize the cargo disposal, failing which Merchant shall indemnify Carrier for all losses arising out of Merchant's refusal to remedy the situation. Carrier shall be entitled, without notice, to unpack the Goods if packed in Containers and/or to store the Goods ashore, afloat, in the open or under cover, at the sole risk of Merchant. Such storage shall constitute due delivery hereunder, and thereupon the liability of Carrier in respect of the Goods stored as aforesaid shall wholly cease.
- (b) Merchant shall be responsible for the costs of such storage, as well as detention and demurrage and for any other costs and expenses arising from or related to such storage.
- (c) If Merchant fails to take delivery of the Goods within thirty days of delivery becoming due under Clause 19 (2), or if in the opinion of Carrier they are likely to deteriorate, decay, become worthless or incur charges whether for storage or otherwise in excess of their value, Carrier may, without prejudice to any other rights which it may have against Merchant, without notice sell, destroy or dispose of the Goods and apply any proceeds of sale in reduction of the sums due to Carrier from Merchant. The Merchant shall indemnify Carrier against any claims made against the Carrier and/or any Servants or Agents due to the sale, destruction or disposal of the said Goods.
- (4) If the port of destination is earlier than the port of delivery, the time for delivery of this Bill of Lading the responsibility of Carrier shall cease and the Goods shall be considered to be delivered at their own risk and expense in every respect when taken into the custody of customs or other authorities.
20. **FCL Multiple Bills of Lading**
- (1) Goods will only be delivered in a Container to Merchant if all Bills of Lading with respect to the contents of the Container have been surrendered authorizing delivery to a single Merchant in a single place of delivery. If this requirement is not fulfilled Carrier may unpack the Container and, in respect of Goods for which Bills of Lading have been surrendered, deliver them to Merchant on a LCL basis. Such delivery shall constitute due delivery hereunder, but will only be effected against payment by Merchant of LCL service charges and any charges appropriate to LCL Goods (as laid down in the tariff) together with the actual costs incurred for any additional services rendered.
- (2) If this is a FCL multiple Bill of Lading (as evidenced by the qualification of the tally acknowledged on page 2 to the effect that it is "One of ... part cargoes in the Container"), then the Goods detailed on page 2 are said to comprise part of the contents of the Container indicated. If the Carrier is required to deliver the Goods to more than one Merchant and if all or part of the total Goods within the Container consist of bulk Goods, or are or become mixed or unmarked or unidentifiable, the holders of Bills of Lading relating to Goods within the Container shall take delivery thereof (including any short portion) and bear any shortage in same proportions as Carrier shall in its absolute discretion determine, and such delivery shall constitute due delivery hereunder.
21. **General Average & Salvage**
- (1) General average to be adjusted in any currency at any place selected by Carrier and according to the York-Antwerp Rules 1994. Merchant shall provide security as may be required by the Vessel owner or the Carrier to cover the estimated contribution of the Goods and any salvage and special or particular charges thereon.
- (2) Cargo contributions in general average shall be paid even if such general average results from fault, neglect or error of the master, pilot, officers or crew. The BIMCO New Jason Clause is hereby expressly incorporated and obtainable from Carrier or its agents upon request.
22. **Both-to-Blame Collision**
- The BIMCO Both-to-Blame Collision Clause is hereby incorporated into this Bill of Lading and obtainable from Carrier or its agents upon request.
23. **Validity and Carrier's Privacy Terms**
- (1) If anything herein contained is inconsistent with any applicable international convention or national law which cannot be departed from by private contract, the provisions hereof shall to the extent of such inconsistency shall not further be null and void. Unless otherwise specifically agreed in writing between Merchant and Carrier, the Terms and Conditions of this Bill of Lading supersede any prior agreements between Merchant and Carrier.
- (2) Carrier's Privacy Terms may be viewed at www.hapag-loyd.com/en/meta/privacy-statement.html.
24. **Law and Jurisdiction**
- Except as otherwise provided specifically herein any claim, dispute, suit or proceeding arising under this Bill of Lading and/or the contract between Carrier and the booking party shall be governed by German law and shall be determined exclusively in the Hamburg courts. Carrier shall have the option to file a suit at Merchant's place of business.